

and demand conditions, with all three returning values of more than five (on a scale of 10). But hiring conditions and profit margins returned values of less than five, indicating poor expectations. In particular, the IT industry has seen large-scale employee layoffs recently. “The hiring in the IT/ITeS sector continues to be impacted by gradually rising inflation in domestic as well as exports markets, and fear of recession in the developed markets, particularly the US and Europe,” says Hetal Gandhi, Director-Research at CRISIL Market Intelligence and Analytics. “The trend is likely to continue in the near term as some companies are focusing on utilising the excess employee strength built up over prior quarters and giving impetus to upskilling or reskilling existing employees.”

When asked about projections for the next quarter (January-March 2023), here too, the respondents were positive about prospects for their business, overall economic situation, and demand conditions. However, they remained low on confidence on hiring conditions and profits. “Hiring conditions are unlikely to change materially in Q4 given that recessionary environment in global markets continue to weigh over incremental employee strength required for IT/ITeS companies,” says Gandhi. “However, the same may not translate into rising profits due to an expected slowdown in the order book in the near term.”

And, not unexpectedly, most respondents said ‘no’ to a query on capex plans for the next quarter. Roy, though, says that conditions are conducive for private sector investments in both greenfield and brownfield areas—deleveraged corporate balance sheets; strong bank balance sheets with historically low NPAs; strong FDI and portfolio flows, improving business climate and structural reforms.

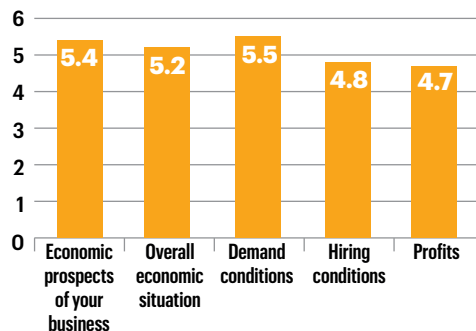
Meanwhile, on other questions,

DEMAND IS EXPECTED TO IMPROVE NEXT QUARTER...

...While confidence on hiring conditions and profits remains low

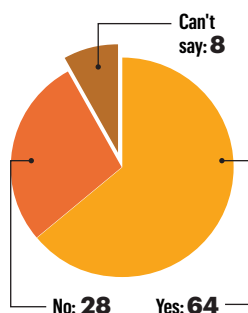
■ JAN-MAR 2023

ON A SCALE OF 10

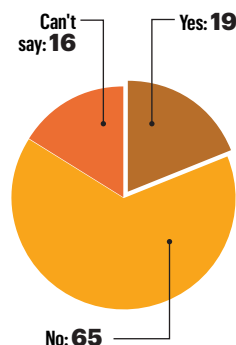


INFLATION A WORRY, NO CAPEX PUSH

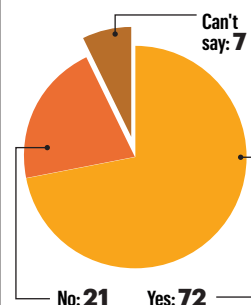
Inflation has moderated in recent months. Is it still a worry for your business?



Are you planning a capex push in the next quarter?



Covid-19 has made a reappearance. Is your business better prepared this time?



ALL FIGURES ARE IN %

SOURCE: THE BT-C FORE BUSINESS CONFIDENCE SURVEY CONDUCTED BETWEEN JANUARY 3 AND 15, 2023, OF 500 CEOs OR CFOs REPRESENTING VARIOUS INDUSTRIES AND COMPANY SIZES ACROSS DELHI, MUMBAI, CHENNAI, HYDERABAD, BENGALURU, KOLKATA, CHANDIGARH, LUCKNOW, NAGPUR, KOCHI, VISAKHAPATNAM AND BHUBANESWAR

inflation remained a top worry for businesses, despite retail inflation moderating to 5.7 per cent in December 2022. “Inflation has come down faster than expected (following the RBI’s repo rate increases), but it has come down because of vegetable price declines, which are very unpredictable,” says Dharmakirti Joshi, Chief Economist of CRISIL. “The non-vegetable inflation is still at 7.2 per cent, and core inflation is showing no signs of budging as of now.”

In the overall macroeconomic scheme of things, the respondents of the survey said they were happy with India’s economic growth, although

we should be concerned given headwinds being faced by the developed western economies. “Three factors have turned adverse in the current fiscal and will show up even more in the next fiscal—first, slowdown in advanced countries that will hit our exports; second, the central bank has been increasing interest rates and all rates are now above pre-pandemic levels; and third, the geopolitics has become messy and it keeps playing on the sentiments,” says Joshi of CRISIL.

Another roller-coaster ride in 2023? Good question. **BT**

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